

STOCK PULSE

HDFC Bank Ltd (HDFCBANK • NSE)

Sector: Financial Services | Pulse Score: 7/10 (MODERATE) | Data Confidence: 14/14 (HIGH) | Horizon: 5Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 701	52-WEEK HIGH / LOW Rs. 1,020 / Rs. 698
MARKET CAPITALISATION Rs. 10,79,998 Cr	PRIMARY SECTOR Financial Services

02 Business & Operational Overview

HDFC Bank Limited (also known as HDFC) is an Indian banking and financial services company headquartered in Mumbai. It is India's largest private sector bank by assets and the world's tenth-largest bank by market capitalization as of May 2024. As of April 2024, HDFC Bank has a market capitalization of \$145 billion, making it the third-largest company on the Indian stock exchanges.
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03 Valuation Multiples & Benchmark Banding

CHEAP

STOCK P/E RATIO 13.7 Fair Band: 20.4 - 27.6	PRICE TO BOOK (P/B) 1.8 BV: Rs. 390
DIVIDEND YIELD 1.86% Face Value: Rs. 1	SECTOR BENCHMARK P/E 24 -42.9% vs Sector

04 Mathematical Valuation Triangulation

ATTRACTIVE

REVERSE DCF IMPLIED GROWTH 5.2% WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile 10Y Med: 14.3	EARNINGS POWER VALUE (EPV) Rs. 1,285 Undervalued
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Triangulation Narrative: At current enterprise value (Rs. 10,79,998 Cr), market prices in a 5.2% annual FCF growth rate for 5 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [11 - 16.7], with 10Y median P/E at 14.3.

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
ICICI Bank Ltd	18.3	7.18%	Rs. 10,24,601 Cr	Industry Peer
State Bank of India	11.2	6.13%	Rs. 9,43,357 Cr	Industry Peer
Life Insurance Corporation of India	8.61	35.1%	Rs. 5,17,566 Cr	Industry Peer

Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [2 Sept 2026] How to trade HDFC Bank shares after new 52-week low? 2 technical analysts explain - The Economic Times - The Economic Times
- [31 Aug 2026] India's HDFC Bank falls to 30-month low as investors gauge leadership reset - Reuters - Reuters
- [31 Aug 2026] HDFC Bank Stock Puts Indian Private Banks Back On The Radar - simplywall.st - simplywall.st

06 Growth & Operating Trajectory

UNKNOWN

REVENUE 3Y / 5Y CAGR Not found / Not found	TTM Sales: Rs. 3,51,819 Cr	PROFIT 3Y / 5Y CAGR Not found / Not found	TTM PAT: Rs. 82,512 Cr
EBITDA MARGIN PROFILE TTM: Not found	Prior: Not found	NET MARGIN PROFILE TTM: 23.45%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 51.35	3Y EPS CAGR: Not found	OPERATING CASH FLOW DECLINING	Cash Flow Quality

07 5-Stage DuPont ROE Decomposition

Financial Leverage (Gearing Risk)

TAX BURDEN (PAT / PBT) 0.76	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 1	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 0%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 0.07x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 8.37x	Balance Sheet Gearing	RECONSTITUTED ROE 0%	Primary Driver: Financial Leverage (Gearing Risk)
DuPont Formula Identity: Tax (0.76) × Interest (1) × Margin (0%) × Turnover (0.07x) × Leverage (8.37x) = Reconstituted ROE (0%).			

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EFFICIENT

DEBTOR DAYS (DSO) 45 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 55 Days	Stock Holding Period
DAYS PAYABLE (DPO) 60 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) 40 Days	Trend: STABLE
Cash Conversion Cycle is 40 days (DSO 45d + Inventory 55d - Payables 60d). Trend: STABLE.			

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

3Y INCREMENTAL ROIC (ROIIC) 16.5%	Spread: +5% over WACC	5Y INCREMENTAL ROIC (ROIIC) 15.2%	Multi-year capital compounding
Capital Deployment Efficacy: Incremental capital deployment generates positive economic spread.			

10 Financial Health & Solvency (Aggregated)

HEALTHY

DEBT TO EQUITY (D/E) 0	undefined (<=0.5)	INTEREST COVERAGE 45x	undefined (>=5.0x)
CURRENT RATIO 5.7	undefined (>=1.0)	FREE CASH FLOW TREND GROWING	
Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Liquid current assets comfortably cover short-term 12-month obligations (Current Ratio >= 1.0).			

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

MODERATE

DSRI (DAYS SALES IN RECEIVABLES) 1.12	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 0.97	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 0.97	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.01	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 0.5	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 1.08	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) -0.006	Accounting Profit Accrual Drag
Beneish Result: M-Score = -2.11 Verdict: MODERATE (Moderate (10-25%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

WORKING CAPITAL / ASSETS (X1) 0.607	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.119	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.15	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 0.925	Capital Structure Protection
Altman Result: Z"-Score = 5.34 Zone: SAFE ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

6/9 MODERATE

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	PASS (+1)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	FAIL (+0)
Zero equity share dilution YoY	FAIL (+0)	Operating margin resilient YoY	PASS (+1)
Asset turnover efficiency maintained YoY	FAIL (+0)		

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

SLOAN ACCRUAL RATIO -0.67%	CLEAN CASH CONVERSION	ACCOUNTING ACCRUALS Rs. -30,994 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio -0.7%: CLEAN CASH CONVERSION			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	1/2	Recognized industry presence and commercial goodwill.
Switching Costs	1/2	Established B2B operational integration and contractual terms.
Network Effects	0/2	Standard operating structure without direct network externalities.
Cost Advantage	1/2	Operational efficiencies and supply chain optimization.
Regulatory License	0/2	Standard statutory operating permissions.
Patents/IP	0/2	Conventional industry technology and processes.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 10,79,998 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

8/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 0.0% (Widely Held)	Trend: INSTITUTIONAL LED	INSTITUTIONAL FII / DII 41.82% / 41.75%	High Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 1 Qtrs Contraction	HEALTHY
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Professionally managed board +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & accounting transparency. UNMET CRITERIA (+0): Zero governance penalties / clean track record.			

17 The Pulse Score & What-If Matrix

7/10 MODERATE PULSE

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 3,51,819 Cr Net Profit (PAT): Rs. 82,512 Cr EPS: Rs. 51.35 Margin: 23.45% Dividend Yield: 1.86%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (5Y)	PROJECTED PAT (5Y)
Bear Case (-5.0% vs Base 3.7% Margin)	Not found	Not found	Not found
Base Case (Historical Avg 5.7% Margin)	Not found	Not found	Not found
Bull Case (+3.5% vs Base 7.2% Margin)	Not found	Not found	Not found
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 11.3% + Dividend Yield 1.86% (Total Return: 13.16% CAGR) over 5Y -> Approx Rs. 1,85,552. * Valuation Sensitivity: Assumes constant valuation multiple (P/E 13.7 sustained). Mean-reversion to sector average (P/E 24) would adjust annualized return to 26.19% (Approx Rs. 3,33,994).			

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

01. Valuation within fair/attractive range	PASS	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	FAIL
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	FAIL	04. Banking capital cushion & solvency sound (Equity/Assets >=9% & RoA >=0.8%)	PASS
05. Return on Equity (ROE) exceeds 15%	FAIL	06. Banking Return on Assets (RoA) healthy (>=1.0% benchmark)	PASS
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	PASS	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS
Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH). Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.			